

- **Mutual Funds.** Many funds provide a year-end statement that indicates how many shares you bought and sold that year (including purchases you made through a reinvestment plan) and the price of those shares. Hold on to these statements. You'll be taxed on any gain you made from selling shares, and you'll get a tax break on losses. You'll need the statements to figure out what your gain (or loss) was. There are several different methods you can use to calculate your gain—and some are more beneficial than others. For details that will help you figure out which method would be best for you, go to www.irs.gov and refer to Publication 564, *Mutual Fund Distributions*. If your fund doesn't send you a comprehensive statement of your transactions, call and request one.
- **Property and Real Estate Tax.** The monthly mortgage payment you make to your lender probably includes your property taxes. Lenders typically forward the tax to your local taxing authority. At the end of the year, you'll receive a statement from your lender about the amount of property tax you paid for the year. These payments are deductible, so hold on to these statements.
- **Police Reports, Insurance Claims.** With any luck, you won't need this file. But if you've been burglarized or had some identity theft problems, save these documents. If you suffered major losses, you may be able to deduct the value of uninsured items.
- **Stocks and Bonds.** If you own individual stocks and bonds, keep the statements you get from the brokerage firm or the company that issued them. Also hang on to any stock or bond certificates, preferably in a bank safety deposit box.

↓ **DO YOU NEED A TAX PREPARER?**